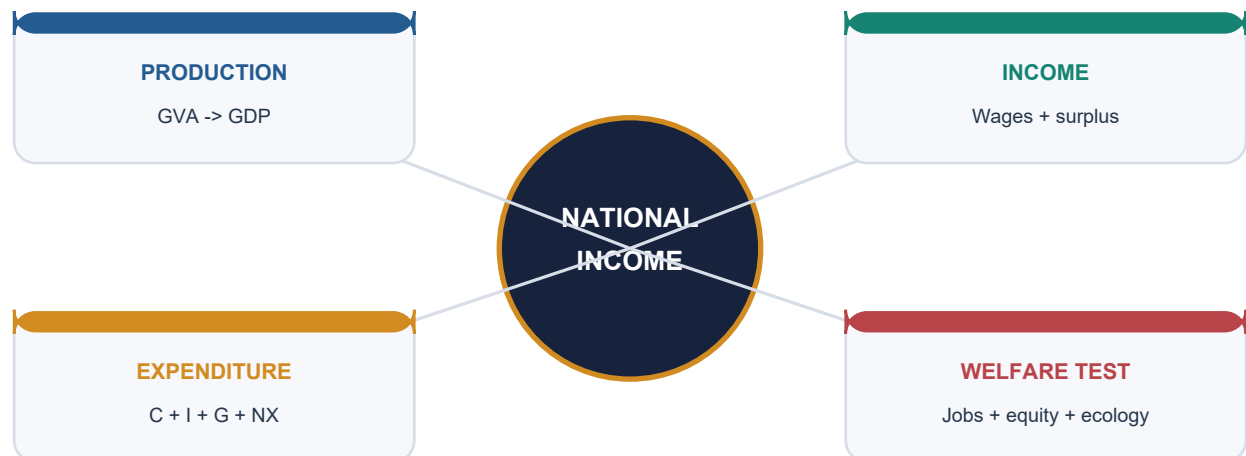


## COMPLETE LEARNING SESSION

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



*Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.*

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Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

# Polity 24 - Municipalities - Complete Topic Package

**Subject:** Indian Polity | **Topic:** 24 | **GS-II + Prelims** | **Export date:** 2026-08-18 **Approval:** false - awaiting explicit user approval. **Evidence key:** [FACT] verified constitutional, official or source-book proposition; [ANALYSIS] reasoned exam synthesis; [CURRENT] dated official control; [LIMIT] qualification preventing overstatement.

## Package method, source priority and current control

- [FACT] Source order followed: basic/Municipalities.md -> advanced/24\_Municipalities.md -> the locally held M. Laxmikanth municipality chapter -> routed PYQ ledgers and official local question papers/keys -> Governance/basic/12\_Local-Governance-and-Service-Delivery.md -> official Sixteenth Finance Commission and MoHUA AMRUT 2.0 documents. Qdrant was not used.
- [CURRENT] Legal and programme control date is **18 August 2026, Asia/Kolkata**.
- [FACT] The controlling constitutional framework is Part IX-A, Articles **243P-243ZG**, inserted by the **74th Constitutional Amendment Act, 1992**, with the **Twelfth Schedule of 18 matters**.
- [CURRENT] The official Sixteenth Finance Commission report covers **2026-27 to 2030-31**. It treats Union local-body grants as supplements to, not substitutes for, State devolution and State Finance Commission action.
- [CURRENT] The Sixteenth Finance Commission recommends an **80:20 basic-performance split** within rural and urban grant components. For ULBs, the performance component begins from the second award year and includes an own-source-revenue condition; entry conditions include a duly constituted body, online provisional/audited accounts and timely State Finance Commission action.
- [CURRENT] The same report recommends GIS-based property-tax systems, strengthened accounts/audit, a rural-to-urban transition policy and support for peri-urban merger into qualifying ULBs.
- [CURRENT] MoHUA's official AMRUT 2.0 framework links water security with property-tax and user-charge reform, GIS-based planning, online services, double-entry accounting, creditworthiness and municipal bonds.
- [LIMIT] Mission outlays, city counts, project completions, bond issuance totals and dashboard values change. This package uses dated official institutional design and avoids treating dashboard counts as permanent facts.
- [LIMIT] State municipal laws differ on mayoral election, tenure, commissioner powers, committee design, taxation and staffing. No single State model is presented as a national rule.
- [LIMIT] A scheme, SPV, portal, credit rating or Finance Commission grant does not by itself amount to constitutional devolution of functions, functionaries and funds.
- Official current sources used: Sixteenth Finance Commission, *Report, Volume I*, Chapter 10; MoHUA, *AMRUT 2.0 Guidelines* and *AMRUT 2.0 Reforms Toolkit*.

## Roadmap

| Stage              | Coverage                                                    | Exam outcome                                |
|--------------------|-------------------------------------------------------------|---------------------------------------------|
| Evolution          | colonial municipal history to the 74th Amendment            | handles chronology and amendment background |
| Constitutional map | Articles 243P-243ZG                                         | solves direct provision questions           |
| Democratic design  | types, wards, representation, tenure and elections          | handles composition and inclusion           |
| Functional domain  | Article 243W and Twelfth Schedule                           | explains the may-devolve problem            |
| Finance            | Articles 243X/Y, own revenue, grants and bonds              | answers functional-financial empowerment    |
| Accountability     | accounts, audit, council, committees and citizens           | connects autonomy with responsibility       |
| Planning           | DPC, MPC and city-region governance                         | solves metropolitan fragmentation           |
| Executive design   | mayor, council and commissioner                             | analyses responsibility-authority mismatch  |
| Delivery           | three Fs, parastatals, SPVs and service chains              | moves from status to functionality          |
| Reform             | XVI Finance Commission, AMRUT 2.0 and peri-urban transition | adds dated official evidence safely         |
| Workbook           | verified PYQs, 48 MCQs and eight solved Mains               | converts coverage into marks                |

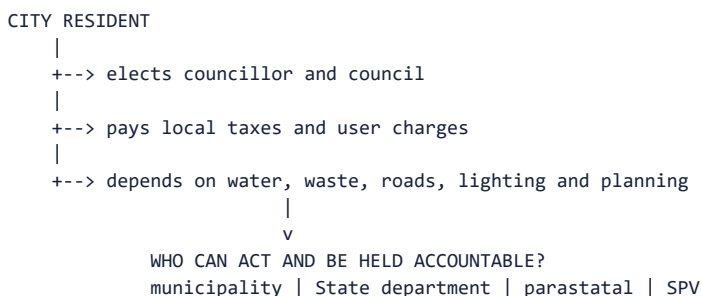
## Scope ownership and cross-links

- **Polity 23 - Panchayati Raj:** Part IX, Gram Sabha and Eleventh Schedule.
- **Polity 26 - Scheduled and Tribal Areas:** full Fifth/Sixth Schedule and autonomous-area design.
- **Polity 29 - Finance Commission:** full Union Finance Commission architecture; this package uses Article 280(3)(c) only for municipal resources.
- **Governance 12 - Local Governance and Service Delivery:** implementation, three-F functionality, rural-urban merger and last-mile delivery.
- **Governance 14 - Participatory Governance:** consultation and participation quality beyond constitutional composition.
- **Geography 28 - Human Settlements and Urbanisation:** census town, statutory town and settlement transition.
- [LIMIT] This package owns the constitutional and institutional design of municipalities. It cross-links governance and urbanisation only to remain independently answer-complete.

## PART I - Complete Foundation and Core learning session

### 01. Why municipalities matter

#### Visual 1 - The urban self-government test



Caption: Urban democracy is meaningful only when the elected institution controls the function, staff and money attached to citizen-visible services.

- [FACT] Urban local government means governance of a defined urban area through elected representatives under State law and Part IX-A.
- [ANALYSIS] Municipalities sit where constitutional democracy meets everyday infrastructure: weak authority appears immediately as uncollected waste, unreliable water, unsafe land use and fragmented planning.
- [LIMIT] Calling municipalities the "third tier" does not make them sovereign units equal to the Union and States; their substantive authority remains substantially State-mediated.

## 02. Evolution of urban local government

### Visual 2 - Constitutionalisation timeline

1688 first municipal corporation begins at Madras  
 1726 municipal corporations at Bombay and Calcutta  
 1870 Lord Mayo: financial decentralisation  
 1882 Lord Ripon: "Magna Carta" of local self-government  
 1907-09 Royal Commission on Decentralisation  
 1919 local self-government becomes a transferred provincial subject  
 1935 local self-government becomes a provincial subject  
 1989 65th Amendment / Nagarpalika Bill passes Lok Sabha, fails Rajya Sabha  
 1990 revised bill lapses with Lok Sabha dissolution  
 1991 modified Municipalities Bill introduced  
 1992 74th Constitutional Amendment enacted  
 1993 comes into force on 1 June

- [FACT] The Madras corporation's charter was issued in 1687 and the corporation came into existence in 1688.
- [FACT] Lord Ripon's 1882 Resolution is conventionally treated as the foundational resolution for representative local self-government.
- [FACT] The failed 1989 and 1990 efforts show that constitutional status was a political project before it became the 74th Amendment.
- [ANALYSIS] The amendment changed municipal continuity and democratic form; it did not erase the older tradition of State control over urban administration.

## 03. What the 74th Amendment changed

### Visual 3 - Constitutional package

| Component           | Constitutional effect                                | What it did not guarantee                     |
|---------------------|------------------------------------------------------|-----------------------------------------------|
| Part IX-A           | entrenched municipal institutions and procedures     | automatic control of every urban service      |
| Articles 243P-243ZG | definitions, bodies, elections, finance and planning | a uniform municipal law for all States        |
| Twelfth Schedule    | listed 18 municipal functional matters               | automatic activity-level transfer             |
| SEC/SFC             | regular electoral and fiscal-review machinery        | perfect independence or timely implementation |
| DPC/MPC             | integrated district/metropolitan planning            | operational supremacy over parastatals        |

- [FACT] The 74th Amendment gave constitutional status to municipalities and placed them in a justiciable constitutional framework.
- [ANALYSIS] Its strongest achievement is **institutional permanence**; its central weakness is that core devolution provisions use enabling language and operate through State legislation.

## 04. Part IX-A article master map

Visual 4 - Articles 243P to 243ZG

| Article | Subject                                         |
|---------|-------------------------------------------------|
| 243P    | definitions                                     |
| 243Q    | constitution of municipalities                  |
| 243R    | composition                                     |
| 243S    | Wards Committees and other committees           |
| 243T    | reservation of seats                            |
| 243U    | duration                                        |
| 243V    | disqualifications                               |
| 243W    | powers, authority and responsibilities          |
| 243X    | municipal taxes, assignments, grants and funds  |
| 243Y    | State Finance Commission review                 |
| 243Z    | accounts and audit                              |
| 243ZA   | municipal elections                             |
| 243ZB   | application to Union Territories                |
| 243ZC   | excluded areas                                  |
| 243ZD   | District Planning Committee                     |
| 243ZE   | Metropolitan Planning Committee                 |
| 243ZF   | continuance of existing laws and municipalities |
| 243ZG   | bar to court interference in electoral matters  |

**Memory chain:** P definitions; Q bodies; R composition; S wards; T reservation; U term; V disqualification; W work; X tax; Y finance review; Z audit; ZA elections; ZD district plan; ZE metro plan; ZG election bar.

## 05. Article 243P definitions

Visual 5 - Definition box

| Term              | Constitutional recall                                                                                                                                         |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Committee         | a committee constituted under Article 243S                                                                                                                    |
| District          | a district in a State                                                                                                                                         |
| Metropolitan area | population of <b>10 lakh or more</b> , comprising one or more districts and two or more municipalities/panchayats/contiguous areas, specified by the Governor |
| Municipal area    | territorial area of a municipality, notified by the Governor                                                                                                  |
| Municipality      | institution of self-government constituted under Article 243Q                                                                                                 |
| Population        | population ascertained at the last preceding census whose relevant figures have been published                                                                |

- [FACT] "Metropolitan area" is a constitutional definition, not merely a colloquial synonym for a large city.
- [ANALYSIS] Its multi-jurisdiction form explains why an MPC is needed: commuter flows, water systems, waste chains and land markets cross municipal borders.

## 06. Three constitutional types under Article 243Q

### Visual 6 - Urbanisation ladder

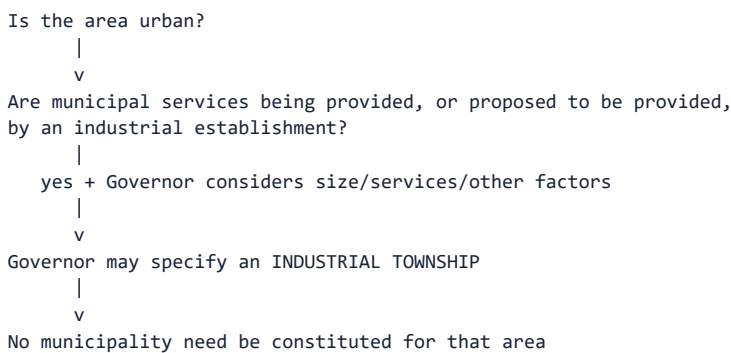
TRANSITIONAL AREA      SMALLER URBAN AREA      LARGER URBAN AREA  
Nagar Panchayat   -->   Municipal Council   -->   Municipal Corporation

| Classification factor available to Governor | Why it matters                       |
|---------------------------------------------|--------------------------------------|
| population                                  | scale of representation and services |
| population density                          | urban intensity                      |
| revenue generated for local administration  | fiscal viability                     |
| percentage in non-agricultural employment   | economic transition                  |
| economic importance                         | regional role                        |
| other notified factors                      | State-specific context               |

- [FACT] Article 243Q requires these three types in accordance with the character of the area.
- [LIMIT] The Constitution does not prescribe one national population cut-off for each type; classification is State-specific within constitutional criteria.

## 07. Industrial township exception

### Visual 7 - Article 243Q proviso decision flow



- [FACT] The proviso is an exception to municipal constitution, not a fourth ordinary type of municipality.
- [ANALYSIS] It recognises service provision by an industrial establishment.
- [LIMIT] Service provision does not automatically supply electoral accountability; an answer should distinguish functional delivery from representative self-government.

## 08. Composition under Article 243R

### Visual 8 - Who enters a municipality

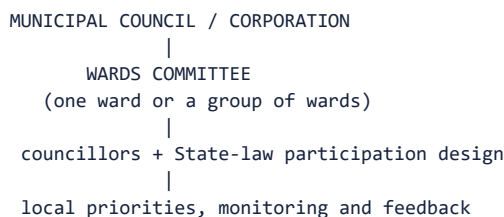
| Route                      | Position                                               | Voting position                               |
|----------------------------|--------------------------------------------------------|-----------------------------------------------|
| direct election from wards | territorial councillors                                | voting members                                |
| State-law representation   | persons with special municipal knowledge/experience    | <b>no right to vote in municipal meetings</b> |
| State-law representation   | relevant MPs/MLAs                                      | as State law provides within Article 243R     |
| State-law representation   | relevant RS/MLC members registered in the area         | as State law provides                         |
| State-law representation   | chairpersons of committees other than Wards Committees | as State law provides                         |

- [FACT] All territorial seats are filled by direct election from wards.

- [FACT] State law determines the manner of electing the chairperson.
- [LIMIT] Direct election of councillors does not imply that every mayor is directly elected by all city voters.

## 09. Wards Committees and intra-city decentralisation

### Visual 9 - From city scale to neighbourhood scale



- [FACT] Article 243S requires Wards Committees in municipalities with population of **three lakh or more**.
- [FACT] State law determines composition, territorial area and seat-filling arrangements.
- [ANALYSIS] Wards Committees can correct the scale problem of large cities by locating participation near services.
- [LIMIT] A constitutional requirement for a committee does not prove regular meetings, citizen voice, budgets or decision power.

### Visual 10 - City council versus Wards Committee

| City council                         | Wards Committee                                |
|--------------------------------------|------------------------------------------------|
| city-wide policy and budget          | sub-city priorities and oversight              |
| collective elected mandate           | neighbourhood-scale interface                  |
| resolves city-wide trade-offs        | surfaces local service failures                |
| may be remote in a large corporation | may improve proximity but depends on State law |

## 10. Reservation under Article 243T

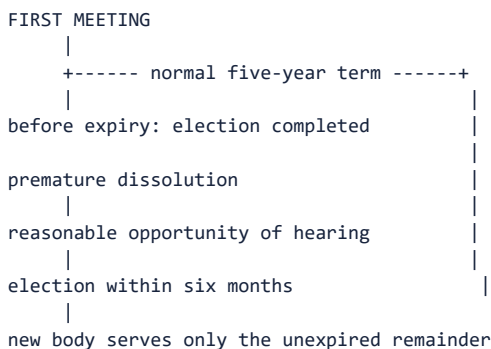
### Visual 11 - Inclusion architecture

| Category                      | Constitutional rule                                           |
|-------------------------------|---------------------------------------------------------------|
| SC/ST seats                   | reserved in proportion to population in the municipal area    |
| women in seats                | not less than one-third of total seats, including SC/ST women |
| chairperson offices for women | not less than one-third of total chairperson offices          |
| SC/ST chairperson offices     | State law prescribes manner                                   |
| backward classes              | State legislature may provide reservation                     |

- [FACT] One-third is a constitutional floor, not a ceiling.
- [ANALYSIS] Reservation alters access to office; substantive authority additionally requires stable tenure, information, staff support and freedom from proxy control.
- [LIMIT] Reservation percentages above the constitutional floor and rotation rules vary by State.

## 11. Duration and dissolution under Article 243U

### Visual 12 - Municipal tenure clock



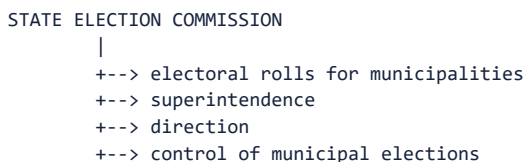
- [FACT] If the remaining period is less than six months, an election need not be held merely for that short remainder.
- [FACT] A legal amendment cannot dissolve an existing municipality before the end of its five-year duration.
- [ANALYSIS] The remainder rule prevents a government from manufacturing a fresh five-year mandate through premature dissolution.

## 12. Disqualification and candidate age

- [FACT] Article 243V connects disqualification to State-legislature election law and additional State law.
- [FACT] A person cannot be disqualified merely for being below 25 if that person has attained **21 years**.
- [FACT] State law determines the authority deciding disqualification questions.
- [LIMIT] Detailed grounds and adjudicatory procedures are State-specific.

## 13. Municipal elections under Article 243ZA

### Visual 13 - Electoral responsibility



Election Commission of India != municipal election authority

- [FACT] Article 243ZA vests municipal election control in the State Election Commission.
- [FACT] Article 243ZG protects the electoral process from ordinary midstream court interference: delimitation/allotment laws cannot be challenged in court, and an election is questioned through the State-law election-petition route.
- [LIMIT] The bar is not a licence for illegality; it channels challenges into the constitutionally prescribed post-election mechanism.

## 14. Compulsory form versus enabling substance

### Visual 14 - The amendment's central asymmetry

| Relatively entrenched constitutional form | State-mediated/enabling substance            |
|-------------------------------------------|----------------------------------------------|
| municipal types                           | detailed powers over functions               |
| direct territorial elections              | activity mapping within 18 matters           |
| reservation floor                         | backward-class reservation design            |
| five-year duration and election rules     | chairperson election and executive authority |

| Relatively entrenched constitutional form | State-mediated/enabling substance        |
|-------------------------------------------|------------------------------------------|
| SEC and SFC framework                     | tax powers and assignments               |
| DPC/MPC constitutional existence          | effective control over planning agencies |

- [ANALYSIS] The Constitution is stronger at guaranteeing **who must exist and be elected** than at guaranteeing **what the elected body can command**.
- [FACT] Articles 243W and 243X use State-legislative enabling routes; the Twelfth Schedule is not self-executing.

## 15. Article 243W: powers, authority and responsibilities

### Visual 15 - The functional-devolution chain

TWELFTH SCHEDULE MATTER  
 |  
 STATE LAW / ACTIVITY MAPPING  
 |  
 specific activity assigned to a municipal tier  
 |  
 budget line + staff + rules + assets  
 |  
 municipality plans and implements  
 |  
 citizen can identify responsibility

- [FACT] Article 243W permits State legislatures to endow municipalities with powers necessary to function as institutions of self-government.
- [FACT] It covers preparation of plans for economic development and social justice and implementation of schemes, including matters in the Twelfth Schedule.
- [ANALYSIS] A subject transfer without activity mapping leaves ambiguity: "water supply" can contain source creation, bulk supply, distribution, metering, billing and quality monitoring controlled by different bodies.

## 16. Twelfth Schedule: all 18 matters

### Visual 16 - Complete functional schedule

| No. | Matter                                                                                                 | Functional cluster    |
|-----|--------------------------------------------------------------------------------------------------------|-----------------------|
| 1   | urban planning including town planning                                                                 | planning              |
| 2   | regulation of land use and construction of buildings                                                   | planning/regulation   |
| 3   | planning for economic and social development                                                           | development           |
| 4   | roads and bridges                                                                                      | infrastructure        |
| 5   | water supply for domestic, industrial and commercial purposes                                          | basic service         |
| 6   | public health, sanitation, conservancy and solid waste management                                      | health/service        |
| 7   | fire services                                                                                          | safety                |
| 8   | urban forestry, environmental protection and ecological promotion                                      | environment           |
| 9   | safeguarding weaker sections, including persons with disabilities and persons with mental disabilities | social justice        |
| 10  | slum improvement and upgradation                                                                       | inclusion/housing     |
| 11  | urban poverty alleviation                                                                              | livelihoods/inclusion |
| 12  | parks, gardens, playgrounds and other urban amenities                                                  | public space          |
| 13  | cultural, educational and aesthetic aspects                                                            | culture               |

| No. | Matter                                                                                   | Functional cluster       |
|-----|------------------------------------------------------------------------------------------|--------------------------|
| 14  | burials, burial grounds, cremations, cremation grounds and electric crematoria           | civic service            |
| 15  | cattle ponds and prevention of cruelty to animals                                        | regulation/welfare       |
| 16  | vital statistics, including registration of births and deaths                            | civil registration       |
| 17  | street lighting, parking lots, bus stops, public conveniences and other public amenities | civic infrastructure     |
| 18  | regulation of slaughterhouses and tanneries                                              | public health/regulation |

**Memory clusters:** Plan-land-development; roads-water-health-fire; environment-weaker sections-slums-poverty; parks-culture-burials-cattle; vital statistics-public amenities-slaughterhouses.

## 17. How to test real devolution

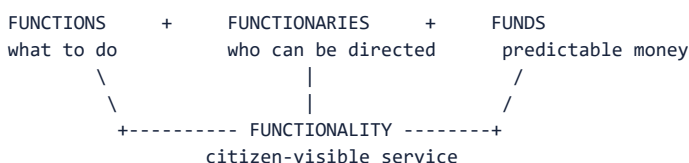
### Visual 17 - The control test

| Question                          | If answer is "State agency" | If answer is "municipality" |
|-----------------------------------|-----------------------------|-----------------------------|
| Who sets policy/service standard? | constrained discretion      | local policy space          |
| Who owns the budget line?         | financial dependence        | allocative authority        |
| Who appoints/directs staff?       | functionary gap             | executive control           |
| Who owns assets and data?         | fragmented delivery         | integrated management       |
| Who signs contracts/work orders?  | formal responsibility only  | operational responsibility  |
| Who faces citizens in elections?  | accountability mismatch     | answerability aligned       |

- [ANALYSIS] Devolution is not proved by counting listed subjects; it is proved by tracing authority over each activity.
- [LIMIT] Some services need regional scale or technical regulation. The objective is clear allocation and accountable coordination, not mechanically municipalising every function.

## 18. Three Fs and functionality

### Visual 18 - From inputs to outcomes



- [FACT] The three-F framework is Funds, Functions and Functionaries.
- [ANALYSIS] A municipality is functional when it can decide, direct staff, finance action and answer publicly for outcomes.
- [LIMIT] The three Fs are necessary inputs, not sufficient outcomes; capacity, procurement, data, participation and audit also matter.

## 19. Article 243X: municipal fiscal authority

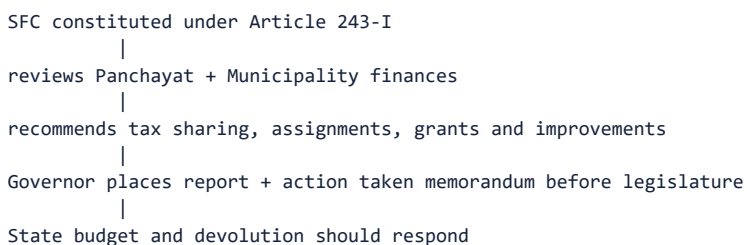
### Visual 19 - Constitutional revenue channels

| Channel enabled by State law               | Illustration                | Fiscal meaning               |
|--------------------------------------------|-----------------------------|------------------------------|
| local levy, collection and appropriation   | property tax, fees, tolls   | own-source authority         |
| assignment of State levies                 | assigned tax/cess share     | predictable devolution       |
| grants-in-aid from State Consolidated Fund | formula or scheme transfer  | supplementation/equalisation |
| municipal funds                            | credited municipal receipts | budgetary integrity          |

- [FACT] Article 243X does not itself impose a municipal tax; it enables State law to authorise the municipality.
- [ANALYSIS] Fiscal autonomy combines a usable tax base, fair rate design, administrative capacity, predictable transfers and spending discretion.

## 20. Article 243Y and the State Finance Commission

### Visual 20 - Municipal fiscal-review cycle



- [FACT] Article 243Y applies the same SFC framework to municipalities every five years.
- [FACT] Article 280(3)(c) directs the Union Finance Commission to recommend measures to augment State Consolidated Funds to supplement municipal resources on the basis of SFC recommendations.
- [ANALYSIS] Delay or weak follow-through breaks the constitutional bridge between local need, State devolution and Union supplementation.
- [LIMIT] Union Finance Commission grants cannot substitute for State tax assignment, SFC action or municipal effort.

## 21. Own-source revenue basket

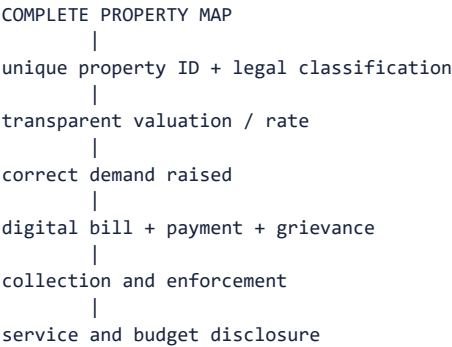
### Visual 21 - Municipal own revenue

| Revenue family        | Typical examples                                              | Core caution                                    |
|-----------------------|---------------------------------------------------------------|-------------------------------------------------|
| property-related      | property/house tax, development-related fees where authorised | valuation, coverage and collection matter       |
| service-related       | water, sewerage, waste and parking charges                    | affordability and service quality matter        |
| regulatory fees       | licences, building permissions, markets                       | must follow State law                           |
| asset income          | rents, leases, municipal properties                           | needs asset inventory and transparent contracts |
| finest/other receipts | legally authorised penalties and charges                      | not a stable substitute for tax capacity        |

- [ANALYSIS] Own revenue creates downward accountability because residents can connect payment, service and elected responsibility.
- [LIMIT] Poorer municipalities have unequal tax bases; equalising transfers remain necessary.

## 22. Property tax reform

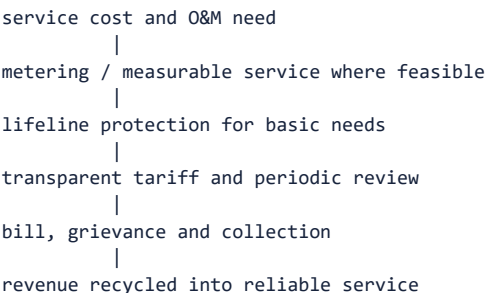
### Visual 22 - Property-tax value chain



- [FACT] Property tax is a major potential municipal own-revenue source, subject to State law.
- [CURRENT] The Sixteenth Finance Commission recommends citizen-friendly GIS-based property-tax IT systems, updated registers, periodic enumeration, self-assessment with scrutiny, unique IDs and database linkage.
- [CURRENT] AMRUT 2.0 treated property-tax reform and user-charge reform as mandatory mission reforms and separately incentivised GIS-based property mapping.
- [ANALYSIS] GIS can improve coverage and record quality; the fiscal gain still depends on lawful valuation, billing, grievance resolution and collection.
- [LIMIT] GIS is an administrative tool, not a legal title adjudication mechanism and not proof of fair taxation.

## 23. User charges and cost recovery

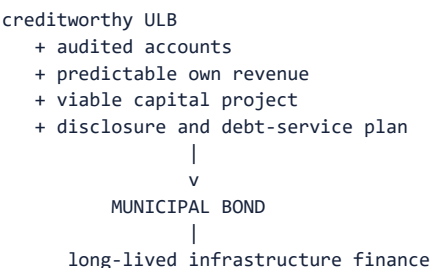
### Visual 23 - Equity-aware charge design



- [ANALYSIS] User charges can finance operation and maintenance and reveal the cost of service.
- [LIMIT] Full cost recovery is not automatically equitable or feasible. Lifeline supply, targeted subsidy, cross-subsidy and service-quality guarantees may be necessary.
- [CURRENT] The AMRUT 2.0 framework links water/sewerage user-charge notifications and collection roadmaps with financial sustainability.

## 24. Municipal bonds and pooled finance

### Visual 24 - Bond logic



| Benefit                                         | Risk/limit                                |
|-------------------------------------------------|-------------------------------------------|
| matches long-lived asset with long-term finance | debt must be repaid from reliable revenue |

| Benefit                                  | Risk/limit                                         |
|------------------------------------------|----------------------------------------------------|
| imposes disclosure and credit discipline | weaker ULBs may be excluded                        |
| diversifies beyond grants                | cannot fund routine losses indefinitely            |
| can attract institutional capital        | project, interest-rate and governance risks remain |

- [FACT] AMRUT 2.0 officially supports creditworthiness and incentivises municipal-bond issuance.
- [ANALYSIS] Pooled finance can aggregate smaller ULB projects and diversify risk, but it still requires State support, project quality and a repayment mechanism.
- [LIMIT] A bond is borrowing, not free revenue and not evidence that all municipalities are market-ready.

## 25. Accounts, audit and fiscal transparency

### Visual 25 - Accountability stack

```

budget classification
|
double-entry / accrual-compatible accounts
|
asset and liability record
|
internal control
|
independent/local-fund audit with CAG guidance where applicable
|
public disclosure + council scrutiny
|
corrective action

```

- [FACT] Article 243Z permits State law to provide for municipal accounts and audit.
- [CURRENT] The Sixteenth Finance Commission's grant-entry conditions require online provisional accounts for T-1 and audited accounts for T-2; ULB audited accounts should include core financial statements.
- [CURRENT] The Commission recommends strengthened CAG technical guidance/supervision and more reliable, comparable municipal financial data.
- [CURRENT] AMRUT 2.0 includes migration to double-entry accounting and audit certification within its reform agenda.
- [ANALYSIS] Accounts create transparency only when they are timely, comparable, reliable and acted upon.

## 26. Fiscal-dependence spiral

### Visual 26 - Why weak revenue persists

```

weak property records and collection
|
v
low own revenue -> poor services -> taxpayer resistance
^                               |
|                               v
grant dependence <- weak creditworthiness and maintenance

```

- [ANALYSIS] Breaking the spiral requires simultaneous record reform, fair taxation, visible service improvement, predictable State transfers and public disclosure.
- [LIMIT] Raising rates without fixing assessment, service quality and grievance systems can deepen non-compliance.

## 27. Council, standing committees, mayor and commissioner

### Visual 27 - Institutional anatomy

| Institution                          | Typical role                                                                    | Democratic/federal issue            |
|--------------------------------------|---------------------------------------------------------------------------------|-------------------------------------|
| council                              | deliberation, by-laws, budget and oversight under State law                     | directly elected collective mandate |
| standing committees                  | specialised scrutiny of finance, works, health and other sectors                | can deepen council control          |
| mayor/chairperson                    | political and ceremonial/deliberative leadership, State-specific executive role | visible electoral accountability    |
| municipal commissioner/chief officer | administration, implementation, staff and executive functions under State law   | commonly State-appointed            |

- [FACT] The Constitution leaves chairperson election and much executive design to State law.
- [ANALYSIS] Where the mayor is visible but lacks control over staff and implementation, citizens face a responsibility-authority mismatch.
- [LIMIT] "Weak mayor-strong commissioner" is a widespread structural tendency, not a uniform national legal rule.

## 28. Mayor-commissioner design debate

### Visual 28 - Four design choices

| Design question                 | Democratic value         | Administrative value    | Risk                                     |
|---------------------------------|--------------------------|-------------------------|------------------------------------------|
| direct or indirect mayor        | mandate clarity          | coalition compatibility | personalisation or instability           |
| short or co-terminous tenure    | rotation/inclusion       | continuity              | weak long-term planning                  |
| control over commissioner/staff | accountability alignment | professional autonomy   | politicisation or bureaucratic dominance |
| council committee strength      | collective scrutiny      | sector expertise        | diffusion of responsibility              |

- [ANALYSIS] The correct reform question is not simply "directly elected mayor: yes or no?" It is whether mandate, tenure, budget, staff control, council oversight and removal rules form a coherent executive design.
- [LIMIT] A strong mayor without transparent council checks can centralise power; a professional commissioner without electoral control can weaken self-government.

## 29. Parastatals and fragmented authority

### Visual 29 - The fragmented city

Municipality ---- waste, local roads, lighting  
 Water board ----- bulk water / sewerage  
 Development authority ----- land use and major layouts  
 Transport agency ----- metropolitan mobility  
 Housing/slum agency ----- housing programmes  
 State department ----- policy, staff, approvals

Citizen sees ONE city; government operates MANY vertical silos.

- [ANALYSIS] Parastatals may provide scale, specialised engineering and regional coordination.
- [ANALYSIS] Their cost is fragmented budgets, overlapping mandates and upward rather than electoral accountability.
- [LIMIT] The answer is not automatic abolition. Use clear activity mapping, service agreements, shared data, elected-plan alignment and measurable accountability.

## 30. Mission SPVs and elected municipalities

Visual 30 - SPV trade-off

| Mission-mode SPV advantage | Constitutional-governance risk | Reconciliation                       |
|----------------------------|--------------------------------|--------------------------------------|
| focused project management | council bypass                 | council-approved plan and reporting  |
| professional procurement   | parallel staff/data            | integrate municipal systems          |
| ring-fenced finance        | enclave development            | city-wide equity criteria            |
| faster implementation      | weak long-term ownership       | transfer assets/O&M capacity clearly |

- [FACT] Smart Cities Mission used city-level Special Purpose Vehicles as implementation vehicles.
- [ANALYSIS] An SPV can build infrastructure without transferring constitutional authority to the municipality.
- [LIMIT] SPVs differ from statutory parastatals; both may fragment answerability, but their legal forms and mandates are not identical.

## 31. District Planning Committee under Article 243ZD

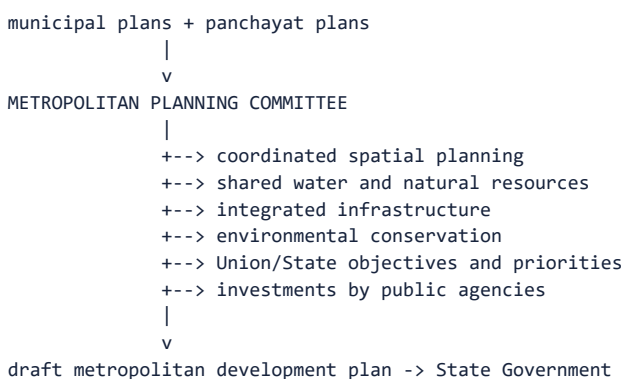
Visual 31 - DPC planning flow



- [FACT] Every State must constitute a DPC at district level.
- [FACT] At least **four-fifths** of members are elected by and from elected district-Panchayat and municipal members, proportional to rural and urban populations.
- [FACT] State law determines composition details, election, functions and chairperson selection within constitutional requirements.
- [ANALYSIS] The DPC is the constitutional bridge between rural and urban planning in one district.

## 32. Metropolitan Planning Committee under Article 243ZE

Visual 32 - MPC city-region flow



- [FACT] Every metropolitan area must have an MPC.
- [FACT] At least **two-thirds** of members are elected by and from elected municipal members and Panchayat chairpersons, proportional to their populations in the metropolitan area.
- [ANALYSIS] The MPC is designed for the functional city region, not merely the core municipal corporation.

- [LIMIT] Constitutional creation does not ensure primacy over development authorities, transport bodies or State investment decisions.

### 33. DPC and MPC compared

#### Visual 33 - Do not swap the fractions

| Feature              | DPC - Article 243ZD                            | MPC - Article 243ZE                                |
|----------------------|------------------------------------------------|----------------------------------------------------|
| territorial unit     | district                                       | metropolitan area                                  |
| elected floor        | <b>4/5</b>                                     | <b>2/3</b>                                         |
| elected by/from      | district Panchayat + municipal elected members | municipal elected members + Panchayat chairpersons |
| representation ratio | rural:urban population                         | municipality:Panchayat population                  |
| plan                 | draft district development plan                | draft metropolitan development plan                |
| distinctive inputs   | common district interests/resources            | Union/State priorities and agency investments      |

**Mnemonic:** District gets the larger elected fraction: DPC 4/5; Metropolitan MPC 2/3.

### 34. Metropolitan governance

#### Visual 34 - City-region mismatch

administrative boundary: [Municipality A] [Municipality B] [Panchayat fringe]  
functional urban region: [----- housing-jobs-transport-water-air shed -----]

Boundary-limited government + region-wide problems = coordination deficit

- [ANALYSIS] Metropolitan governance requires both subsidiarity and scale: neighbourhood services should stay close to residents, while transport, watersheds, air quality, drainage and regional land use require area-wide coordination.
- [ANALYSIS] The MPC should provide democratic coordination; a purely bureaucratic regional authority may coordinate technically without supplying representative planning.

### 35. Peri-urban and census-town transition

#### Visual 35 - Settlement transition

rural administration  
|  
density + non-farm work + contiguity + infrastructure demand rise  
|  
census-town / peri-urban mismatch may emerge  
|  
transparent State transition policy  
|  
Nagar Panchayat, merger or other lawful urban classification  
|  
urban staff + taxes + services + representation + planning

- [FACT] A census town is statistically urban under census criteria but may lack a statutory urban local body.
- [CURRENT] The Sixteenth Finance Commission calls for timely, rule-based urban identification, a phased rural-to-urban transition framework, capacity building and record transfer.
- [CURRENT] It recommends an urbanisation-premium route for qualifying peri-urban merger into an adjoining ULB, subject to a State transition policy.
- [ANALYSIS] Delayed reclassification creates urban-scale demand under rural-scale finance and planning.
- [LIMIT] Merger can dilute rural voice, alter taxes and remove the Gram Sabha forum; transition needs consultation, fiscal protection and service continuity.

## 36. Three easily confused urban forms

Visual 36 - Classification trap table

| Form                | What defines it                                                                                     | Democratic status                     |
|---------------------|-----------------------------------------------------------------------------------------------------|---------------------------------------|
| Nagar Panchayat     | constitutional municipality for a transitional area                                                 | elected ULB                           |
| census town         | statistical urban classification                                                                    | may remain under rural administration |
| industrial township | Governor-specified Article 243Q exception where industrial establishment provides/proposes services | municipality need not be constituted  |

- [FACT] These categories answer different questions: constitutional body, census classification and municipal exception.
- [LIMIT] Do not infer that every industrial area is an industrial township or every census town is a Nagar Panchayat.

## 37. Other forms of urban administration

Visual 37 - Eight conventional urban bodies

| Form                           | Broad character                                                                           |
|--------------------------------|-------------------------------------------------------------------------------------------|
| Municipal Corporation          | large-city municipal body                                                                 |
| Municipality/Municipal Council | town/smaller-city body                                                                    |
| Notified Area Committee        | State-created administration for developing/other notified area; conventionally nominated |
| Town Area Committee            | limited civic administration under State law                                              |
| Cantonment Board               | central law/Defence administration                                                        |
| Township                       | service administration by an enterprise/establishment                                     |
| Port Trust/port authority      | port-area specialist administration                                                       |
| Special Purpose Agency         | function-specific body                                                                    |

- [LIMIT] Only the three Article 243Q categories form the core constitutional typology. The broader eight-form classification mixes municipal, central and specialist arrangements.
- [FACT] Cantonment administration is a Union/Defence domain, not an ordinary State municipality.

## 38. Service-delivery chain

Visual 38 - From plan to service

citizen need

- > ward evidence
- > municipal plan
- > council budget
- > finance and procurement
- > staff/contractor execution
- > service-level monitoring
- > audit and grievance
- > council/citizen correction
- [ANALYSIS] Failure at any link can make a constitutionally elected municipality look ineffective.
- [ANALYSIS] Service delivery improves when the citizen knows which body owns the standard, budget and remedy.

## 39. Democratic accountability architecture

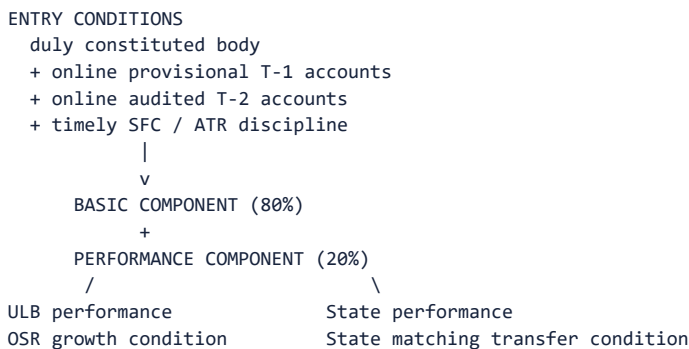
Visual 39 - Upward and downward accountability

| Downward to citizens                    | Horizontal/internal                            | Upward/intergovernmental                |
|-----------------------------------------|------------------------------------------------|-----------------------------------------|
| elections, wards, disclosure, grievance | council committees, audit, opposition scrutiny | State law, grants, standards, regulator |
| strengthens self-government             | restrains misuse                               | protects equity and coordination        |
| risk: elite capture                     | risk: weak records                             | risk: bureaucratic domination           |

- [ANALYSIS] Municipal autonomy without audit can produce capture; control without autonomy produces administration without self-government.
- [LIMIT] Participation is not equivalent to decision authority. Ward consultation should have a clear route into plans, budgets and follow-up.

## 40. Current reform architecture

Visual 40 - XVI Finance Commission local-body grant design



- [CURRENT] The official Sixteenth Finance Commission report recommends a 60:40 rural-urban division of aggregate local-body grants, reflecting projected urbanisation and higher urban service costs.
- [CURRENT] ULB inter-State allocation of basic plus performance components uses projected urban population with an own-source-revenue incentive component.
- [CURRENT] A ULB qualifies for its performance component in year T through the report's specified OSR-growth test based on T-1, T-2 and the 2025-26 base.
- [CURRENT] The State performance component is linked to State transfers from its own resources relative to the basic Finance Commission grant.
- [CURRENT] Half of the basic component is tied to sanitation/solid-waste and/or water management; the other half of basic and the performance component are untied subject to conditions.
- [LIMIT] These are dated recommendations for the 2026-31 award period. Operational implementation should be checked against current Ministry of Finance guidelines before quoting release status.

## 41. AMRUT 2.0 through a constitutional lens

Visual 41 - Mission reform versus devolution

| AMRUT 2.0 reform          | Municipal capability strengthened | Constitutional caution                                   |
|---------------------------|-----------------------------------|----------------------------------------------------------|
| property-tax reform       | own revenue                       | State notification and local administration still matter |
| user charges              | O&M sustainability                | affordability and service standards matter               |
| GIS mapping/master plans  | records and planning              | elected-plan control is not automatic                    |
| online municipal services | citizen interface                 | digital access and grievance quality matter              |

| AMRUT 2.0 reform        | Municipal capability strengthened | Constitutional caution                      |
|-------------------------|-----------------------------------|---------------------------------------------|
| double-entry accounting | transparency/creditworthiness     | entries must be reliable and audited        |
| credit rating/bonds     | capital finance                   | market access is selective and debt-bearing |
| water-security projects | service infrastructure            | scheme assets need municipal O&M authority  |

- [CURRENT] AMRUT 2.0 was launched on 1 October 2021 and its official guidelines use outcome-linked funding and a reform agenda for ULB financial sustainability and water security.
- [ANALYSIS] Mission conditionalities can build municipal capacity, but scheme compliance should reinforce rather than replace elected municipal planning.

## 42. Reform priorities: from status to self-government

### Visual 42 - Sequenced reform ladder

1. map every Twelfth Schedule activity
2. assign budgets, staff, assets and data
3. empower ward and council scrutiny
4. operationalise DPC/MPC planning
5. modernise property tax and fair user charges
6. implement SFC and predictable State transfers
7. integrate parastatals/SPVs through accountable agreements
8. professionalise cadres, accounts, audit and procurement
9. measure services and citizen outcomes

- [ANALYSIS] The sequence aligns authority, capacity and accountability rather than treating a single reform - mayoral election, bond issuance or digitisation - as a cure-all.
- [LIMIT] Reform must preserve State-wide standards, redistribution and metropolitan coordination while increasing local decision space.

## 43. High-yield debates

### Visual 43 - Debate matrix

| Debate                 | Strong case                        | Counter-case                           | Balanced verdict                                   |
|------------------------|------------------------------------|----------------------------------------|----------------------------------------------------|
| direct mayor           | clear mandate and accountability   | personalisation, council conflict      | pair mandate with checks, tenure and staff clarity |
| municipal autonomy     | local knowledge and responsiveness | unequal capacity and tax bases         | autonomy plus equalisation and standards           |
| parastatal integration | unified accountability             | loss of specialist scale               | service compacts and elected-plan alignment        |
| municipal bonds        | capital and disclosure discipline  | selective, debt-bearing route          | one instrument within a wider fiscal system        |
| rural-urban merger     | coherent peri-urban planning       | voice, tax and entitlement disruption  | criteria-based phased transition                   |
| mission SPVs           | implementation focus               | council bypass and enclave development | time-bound, transparent municipal integration      |

## 44. Answer-writing evidence discipline

### Visual 44 - Examiner-grade evidence chain

#### CLAIM

- > NAMED ARTICLE / OFFICIAL INSTITUTION
- > MECHANISM
- > NAMED EXAMPLE OR DATED REFORM
- > ANALYSIS: what it proves
- > QUALIFICATION
- > DIRECT VERDICT

#### Worked example

- **Claim:** [ANALYSIS] Municipal fiscal weakness reflects incomplete empowerment.
- **Named evidence:** [FACT] Article 243X is enabling; Article 243Y requires SFC review; Article 280(3)(c) supplements State resources.
- **Mechanism:** State authorisation, SFC follow-through and local collection determine actual revenue.
- **Current evidence:** [CURRENT] XVI Finance Commission links ULB performance grants to OSR and conditions accounts/SFC compliance.
- **Qualification:** [LIMIT] Grants and conditions cannot replace unequal-base equalisation or democratic control.
- **Verdict:** Fiscal autonomy requires State devolution plus credible municipal revenue administration.

## 45. Prelims close-option distinctions

**Visual 45 - Rapid discrimination table**

| Confusion                   | Correct distinction                                     |
|-----------------------------|---------------------------------------------------------|
| Part IX / IX-A              | Panchayats / Municipalities                             |
| Eleventh / Twelfth Schedule | 29 rural matters / 18 municipal matters                 |
| 73rd / 74th commencement    | 24 April 1993 / 1 June 1993                             |
| Nagar Panchayat             | constitutional ULB for transitional area                |
| industrial township         | Article 243Q exception; municipality need not be formed |
| Wards Committee             | mandatory at population three lakh or more              |
| DPC / MPC elected fraction  | 4/5 / 2/3                                               |
| metropolitan threshold      | 10 lakh or more under Article 243P                      |
| municipal elections         | SEC, not ECI                                            |
| expert member               | may be represented but cannot vote in meetings          |
| Article 243W/X              | enabling devolution / enabling fiscal authority         |
| bond                        | borrowing for capital, not own tax revenue              |

## 46. Mains thesis bank

- [ANALYSIS] **Empowerment thesis:** The 74th Amendment constitutionalised municipal democracy but left functional and fiscal self-government substantially dependent on State law.
- [ANALYSIS] **Planning thesis:** Indian metropolitan areas are functionally integrated but institutionally fragmented; an empowered MPC is the missing democratic city-region layer.
- [ANALYSIS] **Finance thesis:** The municipal finance problem combines a weak own-revenue chain, irregular State devolution and limited administrative capacity, not merely a shortage of grants.
- [ANALYSIS] **Leadership thesis:** The mayor-commissioner problem is an accountability mismatch where the visible elected leader may not control the staff and budget that determine outcomes.
- [ANALYSIS] **Parastatal thesis:** Specialist agencies may supply scale and expertise, but without elected-plan alignment they turn city government into a field of fragmented answerability.
- [ANALYSIS] **Reform thesis:** Property-tax GIS, accounts, bonds and mission incentives become constitutional reforms only when they strengthen elected municipal capacity and public accountability.

## PYQ, practice and solved workbook

### Verified routed PYQs

#### PYQ 1 - UPSC GS-II 2023, Q3 - direct owner

**Verified neutral demand:** Comment on the extent to which States have empowered urban local bodies functionally and financially. **10 marks | 150 words | Directive: Comment**

##### Demand decoding

- "Comment" requires a clear extent-based judgement, not a feature list.
- "Functionally and financially" requires two explicit dimensions.
- "States" requires Article 243W/243X discretion and State variation.

##### Model solution

**Thesis:** [FACT] The 74th Amendment secured elected municipalities, but functional and financial empowerment remains incomplete because Articles 243W and 243X operate through State law.

**Functional extent:** [FACT] Article 243W and the Twelfth Schedule list 18 matters, yet activity mapping, staff and assets often remain split among development authorities, water boards and State departments. [ANALYSIS] Thus, a municipality may be responsible to voters without controlling the implementing agency. DPCs and MPCs under Articles 243ZD/ZE provide integrated planning, but their operational authority varies.

**Financial extent:** [FACT] Article 243X enables taxes, assigned revenues, grants and funds; Article 243Y requires SFC review. [ANALYSIS] Under-used property tax, weak user-charge systems, irregular SFC follow-through and tied grants constrain discretion. [CURRENT] The XVI Finance Commission's OSR, accounts and SFC-linked grant design recognises these gaps.

**Qualification:** [LIMIT] Regular elections, reservation and stronger State examples show genuine progress, so failure is uneven rather than absolute.

**Verdict:** States have devolved municipal form more consistently than municipal power; complete empowerment requires functions, staff and predictable finance to move together.

**Why this earns marks:** It answers both mandated dimensions, uses exact Articles, explains mechanisms, adds dated official evidence and gives a graded rather than absolute judgement.

#### PYQ 2 - UPSC GS-II 2024, Q5 - supporting Governance cross-owner

**Verified question:** Analyse the role of local bodies in providing good governance at the local level and bring out the pros and cons of merging rural local bodies with urban local bodies. **10 marks | 150 words**

##### Model solution

**Thesis:** [ANALYSIS] Local bodies improve good governance when the three Fs convert proximity into responsive services; merger is useful only where a functionally urban settlement has outgrown rural administration.

**Good-governance role:** [FACT] Panchayats and municipalities institutionalise elected representation, reservation, local planning, service delivery and fiscal review. Ward-level evidence can improve targeting; local taxation can strengthen taxpayer accountability. [LIMIT] Parastatals, weak staff control and tied finance may leave responsibility without capacity.

**Merger advantages:** unified land-use and infrastructure planning; economies of scale in water, waste and transport; removal of boundary conflicts; access to urban finance and technical systems.

**Merger costs:** diluted rural representation; loss of Gram Sabha proximity; higher or altered taxes/user charges; disruption of records, assets and rural entitlements; greater administrative distance.

**Named evidence:** [FACT] Article 243Q recognises transitional areas through Nagar Panchayats; Article 243ZD integrates rural and urban district plans. [CURRENT] XVI Finance Commission recommends a phased rural-to-urban transition policy.

**Verdict:** Use transparent density, employment, contiguity, finance and service criteria, with consultation and transition protection, rather than automatic merger.

**Why this earns marks:** It separates role, pros and cons, uses constitutional mechanisms and ends with criteria-based balance.

### PYQ 3 - UPSC GS-II 2020, Q13 - supporting three-F cross-owner

**Verified neutral demand:** Highlight the challenges in moving local institutions from functions, functionaries and funds to actual functionality. **15 marks | 250 words**

#### Model solution

**Thesis:** [ANALYSIS] Functions, functionaries and funds are institutional inputs; functionality exists only when a local body can turn them into timely, equitable and accountable services.

**Functions:** [FACT] Article 243W is enabling. A State may list a Twelfth Schedule subject while retaining individual activities in a parastatal. [ANALYSIS] Ambiguous activity mapping produces duplication and blame shifting.

**Functionaries:** Municipal engineers, health staff and planners may remain controlled by State cadres or agencies. [ANALYSIS] The elected council can request but cannot direct, breaking answerability.

**Funds:** [FACT] Article 243X depends on State authorisation and Article 243Y on SFC follow-through. Weak property records, low collection, tied transfers and delayed releases prevent multi-year planning.

**Cross-cutting barriers:** fragmented data and assets; weak accounting/audit; short political tenure; procurement capacity; inactive Ward Committees; DPC/MPC weakness; unequal fiscal bases; parallel SPVs and boards.

**Reform:** binding activity maps, staff-control protocols, predictable SFC transfers, GIS-backed fair taxation, double-entry audited accounts, professional municipal cadres, ward participation and service-level disclosure. [CURRENT] XVI Finance Commission conditions and AMRUT 2.0 reforms can support this transition.

**Qualification:** [LIMIT] regional utilities remain necessary where economies of scale are real; functionality requires accountable coordination, not indiscriminate transfer.

**Verdict:** A local body is functional when authority, capacity and public responsibility converge around measurable services.

**Why this earns marks:** It follows the stem's three-F structure, then adds the missing outcome and accountability layer with named constitutional and current evidence.

### PYQ 4 - UPSC Prelims 2024, Q74 - official local paper and key verified

**Question:** Which of the following statements about the Constitution of India are correct?

1. Powers of the Municipalities are given in Part IX-A.
2. Emergency provisions are given in Part XVIII.
3. Provisions related to amendment of the Constitution are given in Part XX.

A. 1 and 2 only B. 2 and 3 only C. 1 only D. 1, 2 and 3

**Verified solution:** All three statements are correct. The locally held official UPSC Set-A answer key records **option D**.

- [FACT] Part IX-A concerns Municipalities.
- [FACT] Part XVIII contains Emergency Provisions.
- [FACT] Part XX contains Article 368 on constitutional amendment.
- [LIMIT] The routed ledger itself intentionally does not store answer letters; the key was checked directly against the locally held official Set-A answer-key PDF.

## Original MCQ loop - strict A -> B -> C -> D rotation

### OM1. Constitutional status

Municipalities received constitutional status through the:

A. 74th Constitutional Amendment. B. 73rd Constitutional Amendment. C. 69th Constitutional Amendment. D. 86th Constitutional Amendment.

**Answer: A.**

**Explanation:** [FACT] The 74th Amendment inserted Part IX-A and the Twelfth Schedule.

### OM2. Constitutional Part

The provisions on Municipalities are located in:

A. Part IX. B. Part IX-A. C. Part X. D. Part XVIII.

**Answer: B.**

**Explanation:** [FACT] Part IX is for Panchayats; Part IX-A is for Municipalities.

### OM3. Functional schedule

The Twelfth Schedule contains:

A. 12 matters. B. 29 matters. C. 18 matters. D. 20 matters.

**Answer: C.**

**Explanation:** [FACT] The Eleventh Schedule has 29 Panchayat matters; the Twelfth has 18 municipal matters.

### OM4. Commencement

The 74th Amendment came into force on:

A. 24 April 1993. B. 26 January 1993. C. 15 August 1992. D. 1 June 1993.

**Answer: D.**

**Explanation:** [FACT] 24 April 1993 is associated with the 73rd Amendment.

### OM5. Definitions

Which Article defines "metropolitan area" and "municipality" for Part IX-A?

A. Article 243P. B. Article 243Q. C. Article 243R. D. Article 243S.

**Answer: A.**

**Explanation:** [FACT] Article 243P is the definitions provision.

### OM6. Transitional area

A transitional area is ordinarily administered through a:

A. Municipal Corporation. B. Nagar Panchayat. C. District Panchayat. D. Cantonment Board.

**Answer: B.**

**Explanation:** [FACT] Article 243Q maps Nagar Panchayat to a rural-to-urban transitional area.

### OM7. Industrial township

Which statement is correct?

A. Every industrial area must have a Municipal Corporation. B. Parliament alone declares an industrial township. C. The Governor may specify an industrial township where an industrial establishment provides or proposes municipal services. D. An industrial township is the same as a census town.

**Answer: C.**

**Explanation:** [FACT] It is the Article 243Q proviso; a municipality need not be constituted there.

### OM8. Metropolitan threshold

For Article 243P, a metropolitan area has a population of:

A. five lakh or more. B. three lakh or more. C. twenty lakh or more. D. ten lakh or more.

**Answer: D.**

**Explanation:** [FACT] The constitutional threshold is ten lakh or more, plus the notified multi-area character.

### OM9. Territorial seats

Territorial seats in a municipality are:

A. directly elected from wards. B. nominated by the Governor. C. indirectly elected by an electoral college. D. filled by State civil servants.

**Answer: A.**

**Explanation:** [FACT] Article 243R requires direct election for territorial seats.

### OM10. Wards Committees

Article 243S makes Wards Committees mandatory in a municipality with population:

A. above one lakh only. B. three lakh or more. C. ten lakh or more. D. as fixed annually by Parliament.

**Answer: B.**

**Explanation:** [FACT] The threshold is three lakh or more.

### OM11. Women's seat reservation

The constitutional minimum reservation of total municipal seats for women is:

A. one-fourth. B. one-half. C. not less than one-third. D. two-thirds.

**Answer: C.**

**Explanation:** [FACT] It includes seats reserved for SC/ST women; States may provide a higher share.

### OM12. Backward-class reservation

Reservation in municipalities for backward classes:

A. is prohibited. B. is fixed by the Union Finance Commission. C. is constitutionally fixed at 27 per cent. D. may be provided by the State legislature.

**Answer: D.**

**Explanation:** [FACT] Article 243T permits State-law provision.

### OM13. Normal duration

The normal duration of a municipality is:

A. five years from its first meeting. B. five years from notification of election. C. six years from constitution. D. four years from first budget.

**Answer: A.**

**Explanation:** [FACT] Article 243U uses the date appointed for the first meeting.

### OM14. Short remainder

If a dissolved municipality had less than six months of its term remaining:

A. a full five-year replacement must be elected. B. an election need not be held merely for that remaining period. C. Parliament appoints an administrator. D. the previous council automatically revives.

**Answer: B.**

**Explanation:** [FACT] This is the express short-remainder qualification in Article 243U.

### OM15. Minimum age

A person who has attained which age cannot be disqualified merely for being below 25?

A. 18. B. 20. C. 21. D. 23.

**Answer: C.**

**Explanation:** [FACT] Article 243V sets the relevant age at 21.

### OM16. Election authority

Municipal elections are constitutionally supervised by the:

A. Election Commission of India under Article 324. B. Governor under Article 243R. C. State Finance Commission under Article 243Y. D. State Election Commission under Article 243ZA.

**Answer: D.**

**Explanation:** [FACT] The SEC controls municipal electoral rolls and elections.

### OM17. Article 243W

Which proposition best describes Article 243W?

A. State legislatures may endow municipalities with self-government powers and Twelfth Schedule responsibilities. B. All 18 matters automatically transfer on commencement. C. Parliament directly assigns municipal staff. D. The MPC levies all municipal taxes.

**Answer: A.**

**Explanation:** [FACT] The provision is enabling and works through State law.

### OM18. Twelfth Schedule matter

Which is expressly in the Twelfth Schedule?

A. Police. B. Urban planning including town planning. C. Currency. D. Inter-State trade.

**Answer: B.**

**Explanation:** [FACT] Urban and town planning is the first listed matter.

### OM19. Article 243X

Article 243X concerns:

A. metropolitan-area definition. B. electoral disputes. C. municipal taxes, assignments, grants and funds. D. reservation of chairperson offices.

**Answer: C.**

**Explanation:** [FACT] It is the core municipal-finance enabling provision.

### OM20. State Finance Commission

Municipal finance review by the SFC is addressed in:

A. Article 243Z. B. Article 243ZA. C. Article 243ZD. D. Article 243Y.

**Answer: D.**

**Explanation:** [FACT] Article 243Y applies the Article 243-I SFC to municipalities.

### OM21. Accounts and audit

State-law provision for municipal accounts and audit is enabled by:

A. Article 243Z. B. Article 243W. C. Article 243T. D. Article 243P.

**Answer: A.**

**Explanation:** [FACT] Article 243Z is the accounts-and-audit provision.

### OM22. Union Territories

Application of Part IX-A to Union Territories is addressed by:

A. Article 243ZA. B. Article 243ZB. C. Article 243ZC. D. Article 243ZF.

**Answer: B.**

**Explanation:** [FACT] The President may specify exceptions and modifications.

### OM23. Excluded areas

Which Article concerns non-application to specified Scheduled/tribal areas?

A. Article 243ZB. B. Article 243ZD. C. Article 243ZC. D. Article 243ZG.

**Answer: C.**

**Explanation:** [FACT] Parliament may extend Part IX-A to such areas with exceptions/modifications.

### OM24. Electoral litigation bar

The bar on ordinary court interference in municipal electoral matters is in:

A. Article 243ZF. B. Article 243ZE. C. Article 243ZA. D. Article 243ZG.

**Answer: D.**

**Explanation:** [FACT] An election is challenged through the election-petition route prescribed by State law.

### OM25. DPC fraction

The elected-member floor in a District Planning Committee is:

A. four-fifths. B. two-thirds. C. one-half. D. three-fourths.

**Answer: A.**

**Explanation:** [FACT] DPC 4/5 and MPC 2/3 is a standard close-option trap.

### OM26. MPC fraction

The elected-member floor in a Metropolitan Planning Committee is:

A. four-fifths. B. two-thirds. C. one-third. D. three-fourths.

**Answer: B.**

**Explanation:** [FACT] Members come from elected municipal members and Panchayat chairpersons.

### OM27. DPC function

The DPC primarily:

A. conducts municipal elections. B. audits State departments. C. consolidates Panchayat and municipal plans into a draft district plan. D. appoints municipal commissioners.

**Answer: C.**

**Explanation:** [FACT] Article 243ZD integrates rural and urban planning at district level.

### OM28. MPC planning input

Which is a distinctive constitutional consideration for an MPC?

A. Appointment of High Court judges. B. Inter-State river adjudication. C. Delimitation of parliamentary constituencies. D. Likely investments by Union and State agencies in the metropolitan area.

**Answer: D.**

**Explanation:** [FACT] Article 243ZE explicitly requires regard to such investments and available resources.

### OM29. Property-tax reform

Which step most directly expands a lawful property-tax base?

A. Complete, updated property mapping linked to transparent assessment. B. Replacing all taxes with grants. C. Borrowing for routine salary expenditure. D. Dissolving Ward Committees.

**Answer: A.**

**Explanation:** [ANALYSIS] Coverage, valuation, billing and collection form the revenue chain.

### OM30. User charges

The most defensible design for basic-service user charges is:

A. identical flat charges regardless of service or poverty. B. transparent charges with service standards and lifeline protection. C. no billing or measurement under any circumstances. D. automatic privatisation.

**Answer: B.**

**Explanation:** [ANALYSIS] O&M finance must be balanced with affordability and accountability.

### OM31. Municipal bonds

Which statement is correct?

A. A municipal bond is a constitutional grant. B. It eliminates the need for audited accounts. C. It is debt finance requiring a credible repayment stream. D. Every ULB can issue one without State-law or market conditions.

**Answer: C.**

**Explanation:** [FACT] Bonds finance capital but create debt-service obligations.

### OM32. Mayor-commissioner split

The phrase "responsibility-authority mismatch" most directly describes:

A. the ECI conducting municipal elections. B. Parliament fixing every property-tax rate. C. an MPC replacing the State legislature. D. an elected mayor blamed for services controlled by a State-appointed executive or parastatal.

**Answer: D.**

**Explanation:** [ANALYSIS] Visible political responsibility may not match control over staff and budgets.

### OM33. Three Fs

The three Fs of genuine devolution are:

A. Functions, Functionaries and Funds. B. Federalism, Fraternity and Finance. C. Fees, Fines and Funds. D. Functions, Federalism and Franchise.

**Answer: A.**

**Explanation:** [FACT] They are inputs that must converge into functionality.

### OM34. Parastatal problem

The strongest criticism of fragmented parastatal governance is that it:

A. always lacks technical expertise. B. separates service authority from elected municipal answerability. C. is prohibited by Part IX-A. D. makes metropolitan coordination impossible in every case.

**Answer: B.**

**Explanation:** [ANALYSIS] The issue is accountability fragmentation, not the necessary absence of expertise.

### OM35. XVI Finance Commission ULB performance

Under the official 2026-31 recommendation, the ULB performance component is principally linked to:

A. mayoral direct election. B. creation of a cantonment board. C. the specified ULB own-source-revenue growth condition. D. abolition of property tax.

**Answer: C.**

**Explanation:** [CURRENT] Entry conditions separately cover constitution, accounts and SFC discipline.

### OM36. AMRUT 2.0 reform

Which is part of the official AMRUT 2.0 municipal-reform framework?

A. Replacement of municipalities by district administration. B. Elimination of all user charges. C. Suspension of double-entry accounting. D. Property-tax/user-charge reform, GIS planning and stronger creditworthiness.

**Answer: D.**

**Explanation:** [CURRENT] These reforms connect water security with municipal financial and governance capacity.

## Remedial MCQs - strict continuation A -> B -> C -> D rotation

### RM1. Constitution Parts

Which set is correctly matched?

A. Municipalities-Part IX-A; Emergencies-Part XVIII; Amendment-Part XX. B. Municipalities-Part IX; Emergencies-Part XVII; Amendment-Part XXI. C. Municipalities-Part X; Emergencies-Part XIX; Amendment-Part XVIII. D. Municipalities-Part VIII; Emergencies-Part XX; Amendment-Part IX-A.

**Answer: A.**

**Explanation:** [FACT] This is the exact doctrinal core of UPSC Prelims 2024 Q74.

## RM2. Ward threshold

A city with a population of exactly three lakh:

A. is outside Article 243S. B. falls within the Wards Committee requirement. C. automatically becomes a metropolitan area. D. must become an industrial township.

**Answer: B.**

**Explanation:** [FACT] Article 243S says three lakh or more.

## RM3. Schedules

Which statement is correct?

A. Both Eleventh and Twelfth Schedules contain 29 matters. B. The Twelfth Schedule governs Panchayats. C. The Eleventh Schedule has 29 matters and the Twelfth has 18. D. Neither Schedule relates to local government.

**Answer: C.**

**Explanation:** [FACT] This is a recurring close-option distinction.

## RM4. Planning fractions

Choose the correctly matched pair:

A. DPC-two-thirds; MPC-four-fifths. B. DPC-one-half; MPC-two-thirds. C. DPC-four-fifths; MPC-three-fourths. D. DPC-four-fifths; MPC-two-thirds.

**Answer: D.**

**Explanation:** [FACT] Do not swap the constitutional elected floors.

## RM5. Reconstituted municipality

After premature dissolution, a newly constituted municipality ordinarily serves:

A. only the remainder of the previous body's term. B. a fresh five-year term in every case. C. until the next Lok Sabha election. D. at the Governor's pleasure.

**Answer: A.**

**Explanation:** [FACT] Article 243U preserves the original tenure clock.

## RM6. Expert representation

A person represented for special knowledge of municipal administration:

A. must be the mayor. B. has no right to vote in municipal meetings under Article 243R. C. is directly elected from a ward. D. conducts the municipal election.

**Answer: B.**

**Explanation:** [FACT] Expert input is permitted without voting power.

## RM7. GIS caution

Which statement is most accurate?

A. GIS automatically creates legal title. B. GIS eliminates the need for valuation rules. C. GIS improves records, but lawful assessment, grievance and collection remain necessary. D. GIS is unrelated to property-tax administration.

**Answer: C.**

**Explanation:** [ANALYSIS] Technology improves the chain but cannot replace law and administration.

### RM8. Bond suitability

Municipal bonds are least suitable for:

A. long-lived water infrastructure with a repayment plan. B. a creditworthy ULB with audited disclosure. C. pooled infrastructure with structured State support. D. permanently financing routine deficits without a repayment stream.

**Answer: D.**

**Explanation:** [ANALYSIS] Borrowing cannot sustainably replace recurrent fiscal capacity.

### RM9. Census and statutory status

Which statement is correct?

A. A census town may be statistically urban without a statutory ULB. B. Every census town is a Municipal Corporation. C. Every Nagar Panchayat is an industrial township. D. Census classification is made by the State Election Commission.

**Answer: A.**

**Explanation:** [FACT] Statistical urban status and municipal legal status are distinct.

### RM10. Industrial township

The industrial-township proviso:

A. abolishes State municipal law. B. allows the Governor to specify an exception where industrial services justify it. C. applies automatically to every factory. D. creates an MPC.

**Answer: B.**

**Explanation:** [FACT] Specification and service conditions matter.

### RM11. SPV accountability

Which reform best reconciles a mission SPV with municipal democracy?

A. permanent secrecy of contracts. B. removal of council budget scrutiny. C. council-approved plans, public reporting and clear transfer of assets/O&M. D. treating the SPV as a constitutional municipality.

**Answer: C.**

**Explanation:** [ANALYSIS] Project focus should be integrated with elected accountability and long-term ownership.

### RM12. Evidence discipline

For a Mains claim that municipalities remain fiscally weak, the strongest structure is:

A. assertion plus an undated percentage. B. a list of schemes without mechanism. C. only a generic conclusion. D. Article 243X/243Y -> revenue/SFC mechanism -> official XVI FC evidence -> State-variation qualification.

**Answer: D.**

**Explanation:** [ANALYSIS] Named evidence must prove the claim and be qualified.

## Original solved Mains practice

### M1. "The 74th Amendment constitutionalised municipalities, but not municipal devolution."

**Examine. (10 marks, 150 words)**

#### Model solution

**Thesis:** [FACT] The 74th Amendment entrenched municipal existence, elections and inclusion, but Articles 243W and 243X leave substantial functional and fiscal power to State legislation.

**Constitutionalisation:** Part IX-A creates three municipal types, directly elected wards, reservation, five-year tenure, SEC elections, SFC review and DPC/MPC planning. [ANALYSIS] These prevent municipalities from remaining merely optional administrative creations.

**Devolution gap:** The Twelfth Schedule lists 18 matters, yet State activity maps may leave land use, water or transport with parastatals. Municipal staff often remain State-controlled. Article 243X authorises only State-permitted taxes; weak property-tax administration and irregular SFC follow-through constrain discretion.

**Named current evidence:** [CURRENT] XVI Finance Commission links grants to accounts, SFC discipline and OSR, confirming that core fiscal institutions remain incomplete.

**Qualification:** [LIMIT] State variation and regular elections show that the framework can support genuine empowerment.

**Verdict:** The amendment constitutionalised democratic form more completely than operational self-government; devolution requires the three Fs to accompany the constitutional shell.

**Why this earns marks:** It distinguishes constitutional status from power, uses exact Articles and supports the extent judgement with current evidence and qualification.

## **M2. Assess the constitutional logic and democratic cost of the industrial-township exception. (10 marks, 150 words)**

### **Model solution**

**Thesis:** [FACT] Article 243Q permits the Governor to specify an industrial township where an industrial establishment provides or proposes municipal services; the exception recognises functional service capacity but can reduce representative accountability.

**Logic:** A large integrated industrial estate may already operate water, roads, sanitation, lighting and maintenance. Avoiding duplicate administration can improve technical coordination and cost recovery.

**Democratic cost:** [ANALYSIS] Company-provided services do not equal elected self-government. Residents may lack a municipal council, ward representation, public budget debate and ordinary electoral sanctions over land use or service priorities.

**Safeguards:** transparent specification criteria; periodic review; resident grievance and participation mechanisms; public disclosure; State regulatory oversight; clear environmental and labour-settlement responsibilities; transition to an elected municipality when conditions change.

**Qualification:** [LIMIT] The proviso is discretionary, not automatic for every industrial area.

**Verdict:** The exception is defensible as a narrow service-delivery arrangement only when democratic and regulatory safeguards prevent a private administrative enclave.

**Why this earns marks:** It explains the constitutional mechanism, analyses both efficiency and democratic legitimacy, and gives proportionate safeguards.

## **M3. Analyse the causes of municipal fiscal weakness and propose an equitable reform strategy. (15 marks, 250 words)**

### **Model solution**

**Thesis:** [ANALYSIS] Municipal fiscal weakness is a chain failure involving State authorisation, local revenue administration, intergovernmental transfers and service credibility, not simply low grant volume.

**Constitutional structure:** [FACT] Article 243X enables local taxes, assigned revenues, grants and funds; Article 243Y requires SFC review; Article 280(3)(c) permits Union supplementation through State Consolidated Funds.

**Causes:** incomplete property registers, undervaluation, exemptions, weak billing and collection; politically difficult user charges; small and unequal tax bases; irregular SFC cycles and State transfers; tied grants; weak accounts, asset records and procurement; lack of control over revenue staff; poor services that reduce taxpayer willingness.

**Reform strategy:** GIS-linked unique property IDs, transparent valuation and appeal; wider base before indiscriminate rate increases; digital billing plus field enforcement; lifeline water/sanitation protection with fair user charges; asset inventories and lease reform; double-entry accounts, timely audit and council disclosure; implementation of SFC recommendations and predictable equalisation; bonds/pooled finance only for viable capital projects.

**Named evidence:** [CURRENT] XVI Finance Commission recommends GIS property-tax systems, online accounts, SFC discipline and OSR-linked ULB performance grants. AMRUT 2.0 links property tax, user charges, accounting and creditworthiness.

**Qualification:** [LIMIT] Own revenue cannot equalise structurally different cities; State and Union transfers remain essential.

**Verdict:** Equitable fiscal autonomy means stronger local effort plus transparent equalisation, not replacing grants with regressive charges.

**Why this earns marks:** It links constitutional channels to administrative mechanisms, gives a sequenced and equity-aware solution, and uses two dated official anchors.

#### **M4. "The Metropolitan Planning Committee is the constitutional answer to a city-region problem, but not yet necessarily the operational answer." Discuss. (15 marks, 250 words)**

##### **Model solution**

**Thesis:** [FACT] Article 243ZE designs the MPC to prepare a metropolitan development plan across municipal and Panchayat boundaries; [ANALYSIS] its relevance is high because functional cities exceed administrative borders, but its practical authority depends on State law and agency alignment.

**Constitutional design:** A metropolitan area has ten lakh or more population under Article 243P. At least two-thirds of MPC members are elected by and from municipal members and Panchayat chairpersons. The plan must consider local plans, coordinated spatial planning, shared resources, infrastructure, environment, Union/State priorities and public-agency investments.

**Why needed:** commuting, housing, transport, drainage, air sheds, solid-waste chains and water sources operate regionally. Independent municipal plans create spillovers and contradictory land use.

**Operational deficit:** development authorities and transport/water agencies may retain budgets, data and statutory planning powers; MPCs may lack professional staff, fiscal authority or control over agency investment. A plan forwarded to the State can remain advisory.

**Reform:** statutory primacy or mandatory conformity for major agency plans; permanent metropolitan planning secretariat; open spatial data; municipal/Panchayat participation; ward-to-region consultation; investment and climate-risk integration; public monitoring.

**Qualification:** [LIMIT] Technical regional agencies remain useful; the goal is democratically accountable coordination, not their mechanical abolition.

**Verdict:** The MPC becomes operational when elected regional planning shapes budgets and agency action, not merely when a committee exists.

**Why this earns marks:** It explains the Article in detail, proves the functional need, identifies the mechanism of weakness and proposes institution-specific reform.

#### **M5. Evaluate the mayor-commissioner model from the perspective of democratic accountability and administrative professionalism. (15 marks, 250 words)**

##### **Model solution**

**Thesis:** [ANALYSIS] The mayor-commissioner model can combine political representation with professional administration, but incoherent allocation of tenure, staff and executive authority often produces accountability without control.

**Democratic case:** The mayor and council carry the electoral mandate, aggregate ward priorities, approve budgets and face voters. A stable mayor can coordinate city-wide choices and publicly own outcomes.

**Professional case:** A trained commissioner provides continuity, legal compliance, engineering/procurement capacity and coordination with State departments.

**Structural problem:** [FACT] Part IX-A leaves chairperson and executive design to State law. In many systems, the mayor is short-tenured or primarily deliberative while the State-appointed commissioner controls staff and implementation. Citizens blame the visible elected head, while the executive remains upwardly accountable.

**Reform options:** co-terminous or adequate political tenure; statutory division of policy and administration; council confirmation/oversight safeguards; performance contract for commissioner; transparent transfer/removal; strong standing committees; professional municipal cadre; public service dashboards and audit.

**Counter-risk:** [LIMIT] A directly elected or powerful mayor may clash with the council, centralise contracts or politicise administration.

**Verdict:** Neither elected leadership nor bureaucratic professionalism should dominate absolutely; authority, tenure, scrutiny and removal must be designed as one accountable system.

**Why this earns marks:** It avoids a simplistic pro-mayor answer, identifies the legal source of variation and balances mandate, expertise and safeguards.

## **M6. Do parastatals and mission SPVs strengthen or weaken urban local self-government? Critically examine. (15 marks, 250 words)**

### **Model solution**

**Thesis:** [ANALYSIS] Parastatals and SPVs can add scale, finance and expertise, but they weaken self-government when they separate control of core services from elected municipal plans and scrutiny.

**Strengthening role:** water boards, transport bodies and development authorities can manage networks beyond one municipal boundary; SPVs can ring-fence finance, recruit specialists and execute complex projects quickly.

**Weakening mechanism:** Twelfth Schedule matters such as planning, water and sanitation may remain outside municipal budget and staff control. Multiple bodies create overlapping mandates, data silos and blame shifting. Smart Cities SPVs may prioritise project areas and upward mission reporting rather than city-wide council choices.

**Named constitutional evidence:** [FACT] Article 243W envisages municipalities as institutions of self-government; Articles 243ZD/ZE seek integrated elected planning. Parallel agencies become problematic when they bypass these routes.

**Reconciliation:** clear activity maps; council-approved service and capital plans; metropolitan coordination through MPC; service-level agreements; shared accounts/data; mandatory public reporting; elected representation with conflict safeguards; time-bound SPVs; clear asset and O&M transfer.

**Qualification:** [LIMIT] Municipal control without technical capacity can also fail; specialist regulation and regional infrastructure may remain external.

**Verdict:** These bodies strengthen cities only when expertise is nested within elected planning and answerability; otherwise they build projects while hollowing out municipal government.

**Why this earns marks:** It distinguishes parastatals from SPVs, supplies benefits and costs, anchors criticism in Articles and proposes integration rather than abolition.

## **M7. Design a governance framework for India's metropolitan and peri-urban regions. (20 marks, 250 words)**

### **Model solution**

**Thesis:** [ANALYSIS] Metropolitan and peri-urban governance needs a nested model: neighbourhood democracy for proximity, empowered municipalities for local services and an elected regional layer for cross-boundary systems.

**Classification and transition:** apply transparent Article 243Q criteria - density, non-farm work, revenue, contiguity and economic importance. Use a time-bound State rural-to-urban transition policy, impact assessment, record/asset transfer and citizen consultation. [CURRENT] XVI Finance Commission explicitly supports this direction.

**Local layer:** activate Wards Committees, publish neighbourhood service data, protect representation of newly merged areas and phase property tax/user charges with lifeline safeguards.

**Municipal layer:** binding activity maps for Twelfth Schedule services; control over staff and O&M; predictable SFC transfers; GIS-based property administration; audited double-entry accounts.

**Regional layer:** operationalise MPC under Article 243ZE with a permanent secretariat, open regional data and authority to align transport, housing, drainage, water, environment and major public investment. Require parastatal

and SPV plans to conform or explain divergence.

**Coordination and equity:** metropolitan equalisation for poorer jurisdictions; shared-service contracts; climate and disaster-risk planning; grievance routing; outcome audit.

**Qualification:** [LIMIT] merger is not always necessary; joint service authorities or phased Nagar Panchayat status may preserve voice while gaining scale.

**Verdict:** The objective is not a larger bureaucracy but congruence between the lived city-region and democratically accountable planning, finance and services.

**Why this earns marks:** It covers classification, institutions, finance, democracy, regional systems, equity and alternatives, with constitutional and current evidence.

## M8. Prepare a reform roadmap to move municipalities from constitutional status to measurable functionality. (20 marks, 250 words)

### Model solution

**Thesis:** [ANALYSIS] Municipal functionality requires a sequenced State-local compact aligning the three Fs with capacity, planning and public accountability.

**1. Functions:** enact activity-level maps for all Twelfth Schedule matters; identify the policy setter, budget holder, asset owner and service operator; remove duplication.

**2. Functionaries:** create professional municipal cadres and technical pools; place operational staff under defined council/commissioner accountability; publish vacancies and service responsibilities.

**3. Funds:** implement SFC calendars and accepted recommendations; modernise GIS property tax with fair appeals; adopt equity-aware user charges; publish transfer calendars; use bonds only for viable capital assets. [CURRENT] Use XVI Finance Commission entry/performance conditions as reform leverage.

**4. Democratic executive:** give the mayor/council adequate tenure and clear policy powers; preserve commissioner professionalism through transparent performance and removal rules; strengthen standing and Wards Committees.

**5. Planning:** make DPC/MPC plans meaningful for agency investment; integrate land use, mobility, water, housing and climate risk.

**6. Accountability/capacity:** double-entry accounts, timely independent audit, procurement systems, citizen charters, grievance redress and service-level verification. AMRUT 2.0 tools can support this layer.

**7. Parallel agencies:** bind parastatals and SPVs to council-approved outcomes, shared data and asset/O&M arrangements.

**Qualification:** [LIMIT] autonomy must coexist with State standards and equalisation.

**Verdict:** Functionality exists when an elected municipality can decide, direct, finance and publicly explain measurable service outcomes.

**Why this earns marks:** It provides a complete implementation sequence, named evidence, institutional safeguards and an outcome-based test rather than a generic wish list.

## Final consolidated register notes

### Constitutional spine

74th Amendment Act, 1992  
|  
effective 1 June 1993  
|  
Part IX-A: Articles 243P-243ZG  
|  
Twelfth Schedule: 18 matters  
|  
municipal democracy + finance + district/metropolitan planning

## Evolution recall

- 1688: first corporation at Madras; 1726: Bombay and Calcutta.
- 1870: Lord Mayo and financial decentralisation.
- 1882: Lord Ripon's local self-government resolution.
- 1919: transferred provincial subject.
- 1935: provincial subject.
- 1989: 65th Amendment/Nagarpalika Bill failed in Rajya Sabha.
- 1990: revised bill lapsed.
- 1991-92: modified bill became the 74th Amendment.
- 1 June 1993: commencement.

## Article map

| Article | Recall                                                             |
|---------|--------------------------------------------------------------------|
| 243P    | definitions; metro area 10 lakh or more                            |
| 243Q    | Nagar Panchayat, Council, Corporation; industrial-township proviso |
| 243R    | direct ward seats; additional representation                       |
| 243S    | Wards Committees at three lakh or more                             |
| 243T    | reservation                                                        |
| 243U    | five-year duration and dissolution rules                           |
| 243V    | disqualification; age 21                                           |
| 243W    | powers/functions; enabling                                         |
| 243X    | taxes, assignments, grants and funds; enabling                     |
| 243Y    | SFC review                                                         |
| 243Z    | accounts/audit                                                     |
| 243ZA   | SEC elections                                                      |
| 243ZB/C | UT application / excluded areas                                    |
| 243ZD   | DPC, 4/5 elected                                                   |
| 243ZE   | MPC, 2/3 elected                                                   |
| 243ZF/G | existing laws / election-litigation bar                            |

## Municipal types and classification

- Nagar Panchayat: transitional area.
- Municipal Council: smaller urban area.
- Municipal Corporation: larger urban area.
- Governor considers population, density, local revenue, non-agricultural employment, economic importance and other factors.
- Industrial township: specified exception where an industrial establishment provides/proposes municipal services; municipality need not be formed.
- Census town is a statistical category and may lack a statutory ULB.

## Democratic design

- Territorial councillors: directly elected from wards.
- Experts may be represented but cannot vote in municipal meetings.
- Chairperson election and executive design: State law.
- Wards Committees: mandatory at population three lakh or more.
- SC/ST seats: population proportion.
- Women: not less than one-third of seats and chairperson offices.
- Backward-class reservation: State may provide.
- Five-year term from first meeting.
- Election before expiry or within six months of dissolution.
- Short remainder below six months: election not necessary for that period.
- Reconstituted body serves only unexpired remainder.
- SEC, not ECI, conducts municipal polls.

## Twelfth Schedule clusters

| Cluster            | Matters                                                                                                                |
|--------------------|------------------------------------------------------------------------------------------------------------------------|
| planning           | urban/town planning; land use/buildings; economic/social development                                                   |
| infrastructure     | roads/bridges; water; fire services                                                                                    |
| health/environment | public health, sanitation, waste; urban forestry/environment                                                           |
| inclusion          | weaker sections; slum improvement; poverty alleviation                                                                 |
| public realm       | parks/playgrounds; culture/education/aesthetics                                                                        |
| civic regulation   | burials/crematoria; cattle ponds; vital statistics; lighting/parking/bus stops/conveniences; slaughterhouses/tanneries |

- Listing does not equal transfer.
- Test each activity by budget, staff, assets, data and work-order control.

## Three Fs to functionality

| Functions                             | Functionaries                            | Funds                                   |
|---------------------------------------|------------------------------------------|-----------------------------------------|
| activity-mapped Twelfth Schedule work | staff accountable to municipal authority | own revenue + State devolution + grants |

- Functionality adds capacity, planning, procurement, audit, participation and measurable service outcomes.
- Responsibility without authority is the core municipal-governance deficit.

## Municipal finance

- Article 243X: State-authorised taxes, duties, tolls, fees; assigned revenues; State grants; municipal funds.
- Article 243Y: SFC reviews municipal finances every five years.
- Article 280(3)(c): Union FC supplementation through State Consolidated Funds.
- Property-tax chain: mapping -> valuation -> demand -> billing -> grievance -> collection -> disclosure.
- User charges: O&M support with service standards and lifeline protection.
- Bonds: debt for viable long-lived assets; need audited accounts and repayment.
- Pooled finance: possible route for smaller ULBs, still requiring structured support.
- Accounts: double-entry/accrual-compatible records, assets/liabilities, audit and public scrutiny.

## XVI Finance Commission 2026-31 control

- Dated official award period: 2026-27 to 2030-31.
- Basic-performance split: 80:20.
- Entry conditions: duly constituted body; online provisional T-1 and audited T-2 accounts; SFC/ATR discipline.
- ULB performance: specified OSR-growth condition.
- State performance: linked to State transfers from own resources.
- Half of basic component tied to water and/or sanitation-solid waste; remainder structure provides greater untied space subject to conditions.
- Recommends GIS property-tax systems, stronger accounts/audit and phased rural-to-urban transition.
- Grants supplement, not replace, State devolution and municipal own revenue.

## DPC and MPC

| DPC                               | MPC                                                       |
|-----------------------------------|-----------------------------------------------------------|
| Article 243ZD                     | Article 243ZE                                             |
| district                          | metropolitan area                                         |
| 4/5 elected                       | 2/3 elected                                               |
| rural:urban population ratio      | municipality:Panchayat population ratio                   |
| consolidates district local plans | integrates metropolitan local plans and public investment |

- DPC common interests: spatial planning, shared resources, infrastructure, environment.
- MPC additionally considers Union/State priorities and likely agency investments.
- Both forward draft plans to State Government.
- Operational weakness arises when agencies keep budgets, staff and statutory planning power.

## Mayor, commissioner, parastatals and SPVs

- Council: elected deliberation, budget and oversight under State law.
- Mayor/chairperson: political leadership; election, tenure and powers vary.
- Commissioner: commonly State-appointed professional executive under State law.
- Core risk: elected visibility without executive control.
- Parastatals: scale/expertise but fragmented answerability.
- SPVs: focused implementation but risk council bypass, data silos and unclear O&M.
- Reform: clear roles, council-approved plans, shared data, service contracts, public reporting and asset-transfer rules.

## Metropolitan and peri-urban governance

- Metropolitan area: 10 lakh or more plus notified multi-jurisdiction character.
- Region-wide functions: transport, land use, drainage, water, air quality, waste and housing.
- Peri-urban mismatch: urban demand under rural institutions.
- Options: Nagar Panchayat, phased merger, joint service authority or other lawful transition.
- Safeguards: consultation, representation, tax phasing, record/asset transfer, entitlement continuity and grievance route.

## AMRUT 2.0 answer use

- Official mission launch: 1 October 2021.
- Water-security and ULB financial-sustainability frame.
- Property-tax and user-charge reform.
- GIS planning/property mapping.
- Online services and grievance systems.
- Double-entry accounting.
- Creditworthiness and municipal bonds.
- Use as capacity evidence, not as proof of constitutional devolution.

## PYQ answer routes

- **2023 GS-II Q3:** Article 243W functional gap + parastatals/functionaries; Article 243X/Y financial gap; XVI FC evidence; State-variation qualification.
- **2024 GS-II Q5:** three Fs and good governance; explicit merger pros/cons; Article 243Q/243ZD; criteria-based transition.
- **2020 GS-II Q13:** three Fs are inputs; add capacity, accountability and service outcome.
- **2024 Prelims Q74:** Part IX-A, Part XVIII and Part XX are all correctly matched.

## Last-minute traps

1. 74th Amendment enacted 1992; effective 1 June 1993.
2. Municipalities: Part IX-A, not Part IX.
3. Twelfth Schedule: 18, not 29.
4. Nagar Panchayat is an urban transitional body.
5. Industrial township is an exception, not an ordinary fourth type.
6. Metropolitan threshold: ten lakh or more.
7. Wards Committee threshold: three lakh or more.
8. Experts have no voting right in municipal meetings.
9. Women: not less than one-third.
10. Candidate age: 21.
11. Article 243W/X are enabling.
12. SEC conducts elections.
13. DPC 4/5; MPC 2/3.
14. Property tax is not automatically levied by the Constitution.
15. Bond is debt, not grant.
16. GIS does not itself create title or collection.
17. Parastatal expertise does not cure accountability fragmentation.
18. Mission/SPV delivery is not constitutional devolution.
19. Census town may lack a statutory ULB.
20. Grants supplement, not substitute for, State devolution and own revenue.

## Final verdicts

- **74th Amendment:** constitutionally strong on democratic form, State-dependent on substantive power.
- **Finance:** own revenue, SFC devolution and equalising grants must work together.
- **Planning:** DPC/MPC are the constitutional integration layer but need authority over real investment choices.
- **Leadership:** coherent mayor-council-commissioner design matters more than one isolated election reform.
- **Delivery:** the test is who controls the function, staff, budget and remedy.
- **Reform:** technology and conditional grants are valuable when they deepen elected capacity, transparency and citizen-visible outcomes.